

ACQUISITION TITLE: Electronic Tax Research

1. Identification of the requiring activity and the contracting activity:

The requiring activity is Internal Revenue Service, LB&I and the contracting activity is IRS Procurement.

2.a Nature and/or description of the action being approved:

The purpose of this sole source justification is to obtain approval to award a Firm-Fixed [REDACTED] with Bloomberg Industry Group for the purchase of commercial off the shelf (COTS) tax software tool that can be customized to add capabilities to meet the needs of the organization.

2.b Name of the vendor. Bloomberg Industry Group

2.c Requisition No.: [REDACTED]

3.a A description of the supplies or services required to meet the agency's needs:

the IRS uses BLOOMBERG TAX software products - specifically Corporate Tax Analyzer (CTA) Income Tax Planner (ITP), and IMS Middleware (IMS M) software. The software license use rights for CTA, ITP, or ITP/CTA User technical support are provided on an annual basis to IRS. Vendor shall provide Bloomberg Tax software support for custom software integration, development, and maintenance. Tax law changes shall be quickly adapted and integrated with Bloomberg Tax CTA & ITP software.

[REDACTED]

[REDACTED]

3.b Includes IT: ☐ Yes ☒ No *N/A*

5. A demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited:

The proposed contractor's unique qualifications and the nature of the acquisition requires use of the authority cited as follows:

Bloomberg is the incumbent provider of electronic tax research services. They have developed customized research tools, databases, and analytics specifically tailored to the agency's needs over the course of the existing contract.

☐ The agency's legal team has extensive experience and familiarity with Bloomberg's platform, interface, and research methodologies. Switching to a different provider without adequate transition time would result in significant disruption to ongoing legal research and potential delays in providing critical legal advice.

☐ Bloomberg maintains proprietary databases and algorithms that are unique to their service, including specialized federal and state tax law resources that are essential for the agency legal operations.

☐ The proposed [REDACTED] contract is necessary to ensure continuity of services while a full and open competition for a new long-term contract is conducted. This approach allows

the agency to maintain access to critical tax research tools without interruption while also promoting competition for future services.

☐ Bloomberg has demonstrated reliable performance throughout the existing contract, consistently meeting or exceeding service level agreements and providing responsive customer support.

6. A description of efforts to ensure that offers were solicited from as many potential sources as is practicable, including whether a notice was or will be publicized as required by FAR subpart 5.2 and, if not, which exception under FAR 5.202 applies:

The requirement was solicited as Sole Source Bridge contract requirement.

7. A determination by the contracting officer that the anticipated cost to the Government will be fair and reasonable:

The Contracting Officer determines that the anticipated price for this bridge contract will be fair and reasonable based on the following factors:

- Comparison with existing contract: The proposed pricing for the bridge contract is consistent with the current contract rates, which were previously determined to be fair and reasonable through competition.
- Market research: Preliminary market research conducted for the upcoming competitive procurement by the COR indicates that the proposed pricing is within the range of similar services offered by other providers in the electronic legal research market.
- Added value services: The proposed price includes additional services such as customized training and dedicated customer support, which add value beyond the basic subscription.
- Independent Government Cost Estimate (IGCE): The proposed pricing aligns closely with the IGCE, which was developed based on historical data and current market trends.
- Price analysis: A comparison of the proposed pricing with published commercial price lists and publicly available information from other government contracts for similar services supports the determination of fair and reasonable pricing.

Based on these factors, the Contracting Officer has determined that the anticipated cost to the Government for this bridge contract will be fair and reasonable.

8. A description of the market research conducted (see FAR part 10) and the results or a statement of the reason market research was not conducted:

Market research for this bridge contract was limited due to the urgent need to maintain continuity of services. Despite historical market research associated with previous procurements, currently market research is being conducted for the upcoming competitive procurement of electronic legal research services. This ongoing market research for the new award includes:

- Request for Information (RFI): An RFI was issued on SAM.gov in 2024 to gather information on potential providers, their capabilities, and pricing models. Five responses

were received and were analyzed to inform the acquisition strategy.

- Industry outreach: The agency hosted virtual demonstrations in 2024, attended by three potential vendors. Additional industry sessions are being contemplated.
- Market analysis: The program office has reviewed publicly available information, including annual reports, product brochures, and pricing information from major electronic legal research service vendors.

Preliminary results of the market research indicate:

- There are three potential providers capable of meeting the agency's core requirements for electronic tax research services.
- Pricing models vary among vendors.
- Emerging technologies such as artificial intelligence and machine learning are being integrated into tax research platforms, offering potential improvements in search efficiency and analytical capabilities.
- There is a trend towards more customizable platforms that can be tailored to specific agency needs and workflows.

This ongoing market research will inform the development of the acquisition strategy and requirements for the upcoming competitive procurement, ensuring that the long-term contract takes advantage of current market capabilities and promotes full and open competition.

9.a Any other facts supporting this justification:

- Continuity of operations: The Department of the Treasury, Internal Revenue Service relies heavily on the current electronic tax research platforms for daily operations. A lapse in service or an abrupt transition to a new system without adequate preparation could significantly impair the agency's ability to provide timely and accurate legal and tax advice.
- Data integrity and historical research: The existing platform contains extensive customized databases, saved research, and annotations specific to the agency's work. A [REDACTED] ensures continued access to this valuable historical data while a plan for data migration or preservation is developed as part of the competitive procurement process.
- Training and familiarity: Treasury and IRS users are thoroughly trained and familiar with the current Bloomberg platform. The [REDACTED] contract allows time for potential retraining and adaptation if a new provider is selected through the competitive process, minimizing disruption to operations.
- Integration with existing systems: The current electronic tax research platform is integrated with other agency systems, such as document management and case tracking software. The [REDACTED] provides time to address any integration issues that may arise if a new provider is selected.
- Ongoing litigation support: The agency is currently involved in an extensive amount of active legal cases that require consistent access to the electronic tax research platform. The [REDACTED] ensures uninterrupted support for these ongoing matters.

- **Regulatory compliance:** Continuous access to up-to-date tax and legal resources is critical for ensuring the agency's ongoing compliance with rapidly evolving federal and state regulations.

9.b Attachments: ☐ Yes ☒ No

10. A listing of sources, if any, that expressed, in writing, an interest in the acquisition:

N/A

11. A statement of the actions, if any, the Requiring Activity or Contracting Activity may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required:

The Requiring Activity and Contracting Activity are taking the following actions to remove barriers to competition for the subsequent acquisition of electronic legal research services:

- **Planning and timing:** The Program Office is requesting the [REDACTED] contract in order to adequately solicit the new award. The new award is continuing preparation with obtained approvals for solicitation. The [REDACTED] will ensure that there will not be a lapse or interruption in service.
- **Requirements refinement:** Based on user feedback and market research, the agency is refining its requirements to focus on essential functionalities rather than specific proprietary features, thereby ensuring that the IRS procures the best-value in potential vendors.
- **Training and change management:** A comprehensive training and change management plan is being developed to facilitate the potential transition to a new electronic tax and legal research platform, addressing one of the key barriers to switching providers.

The competitive solicitation for the long-term electronic tax research services contract is expected to be issued [REDACTED]. This timeline allows for thorough market research, requirements development, and acquisition planning while providing potential offerors sufficient time to prepare competitive proposals.

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